



The Indian state of mind

Streaming giants, Netflix and Amazon, have set their sights on expanding their reach in India. <https://dgit.in/feb20-29>



Rising streaming on TV

Video streaming in India is slowly transitioning from mobile phones to TV screens. <https://dgit.in/feb20-30>

behaviour of multiple users, in the end, losing its efficacy. Interestingly, this does not have as strong an effect on streaming services as one might assume. According to reports, the top three platforms being used are Netflix, Amazon Prime & Hotstar, and only one of them offers multiple profile creation on the same account. So, how does one go about making a choice? This brings us to an important question.

THE PRICE POINT

One of the biggest concerns with the ongoing streaming wars overseas is that people will stop subscribing to any platform at all when there are too many platforms to subscribe to. A combined subscription to all the leading streaming services available or set to launch in the US right now can cost about ₹3,500/month. According to recent surveys, nearly 90 percent of users believe that this will soon be too expensive to keep up with.

Pricing in the Indian market works differently. Quite a few international subscription-based services have significantly altered their pricing to be more appealing in the Indian market. Additionally, while ad-supported video streaming is only just picking up in the US, it has always been significant in India – just look at Hotstar's growth to more than 300 million users since its 2014 launch. This has led to players, both international and regional, to think twice before launching expensive plans here.

When Netflix arrived in India, it launched subscriptions starting from ₹500 per month. Even though they saw good growth, mostly thanks to their strong content base, they've also recently launched mobile-only plans at ₹199 per month. Amazon has modified its Prime subscription from a one-time yearly payment to a smaller monthly payment. Other players have taken various alternative approaches to content-pricing, like content-specific packs (sports, regional language etc), sachet pricing (per-day, per-week etc.), freemium pricing (library

partially paywalled) and entirely free ad-supported services.

However, despite this, the number of average platforms being used per user is quite similar in the US (3) and India (2.6). Additionally, about 25 percent of non-subscribers in a recent survey believe that piracy is just easier and saves them money. On one hand, this could be because, despite their best efforts, platforms are still not pricing themselves correctly – according to 40 percent of the non-subscribers in the same survey. On the other hand, it could be simply because people just don't want to keep track of more than a couple of streaming services.



Right now, you could be suffering from the paradox of choice

CUTTING THE STREAM

As discussed above, pricing in India is being addressed by streaming services in various ways. However, what they cannot get around is content exclusivity. According to Vidooly's recent survey on the OTT industry, about 26 percent of subscribers use OTT to avoid the fear of missing out on good shows. However, the top reason for subscription on the same survey is cheaper subscription plans. Increasing content exclusivity between newer streaming services is going to make that irrelevant, as to catch all the good shows, important matches and must-watch movies, the total subscription cost is going to be too high.

As of now, newer players attempt to get around this through various strategies like free trials, bundled-services with telecom providers, preloaded apps on DTH boxes and

more. However, as free trials are exhausted and the time to make revenue approaches, many services will have to swallow the bitter pill and raise subscription costs – the biggest factor behind people unsubscribing today.

On the other hand, even between the three popularly-subscribed platforms, sometimes finding what you want to watch can get quite confusing. Studios moving their TV shows to their own platforms, most of which are not available in India, isn't exactly helping. To catch those shows, you have to track down which Indian platform they have an agreement with if they do have one at all. Apps like JustWatch are a great solution for that. After entering your preferences and the streaming services you have access to, you can keep track of new launches and updates across your streaming services. JustWatch is one of the few that include & update their data for streaming services in India.

THE FUTURE

As we've seen with any overcrowded industry segment, consolidation is inevitable with streaming services in India. With the possible Disney+ launch in India, users will have even more to choose from and might end up not choosing at all. The industry reshapes itself to be more accessible, both in terms of pricing and ease-of-discovery. Even after that, it might just be a case of 'too-many-bills' to keep track of, unless someone can come up with a service that aggregates the content from all platforms you're subscribed to. Unfortunately, with the number of companies, agreements, and other variations involved, that sounds like nothing more than a pipe dream right now. 

Additional reading:

1. <https://vidooly.com/blog/wp-content/uploads/2020/01/Indian-OTT-Landscape-Report-FREE-SAMPLE.pdf>
2. <https://assets.kpmg/content/dam/kpmg/in/pdf/2019/09/ott-digital-video-market-consumer-india.pdf>
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